Introduction

1. This report sets out the Budget for 2026/27 including the Capital Programme, Housing Revenue Account (HRA), Schools Budget, and the Medium Term Financial Strategy (MTFS) to 2029/30. These combined seek to support the vision and ambitious outcomes for Kingston's communities, residents and businesses.

2. The Council Plan 2023-2027 sets our vision and priorities, providing the framework for decisions about how we plan services, allocate resources and measure progress. This plan was developed from the administration's manifesto and insight from our residents, businesses and communities. The Council plan has four themes, these are:

    - **Fairer:** Children and young people have a fairer start in life and all residents are supported when needed throughout their lifetime. Inequality is reduced and every resident has increased opportunities for a happy and healthy life.
    - **Safer:** Our borough stays safe, well maintained and resilient so individuals and communities can thrive and prosper.
    - **Greener:** We are a greener and more sustainable borough and on track to meet our net zero carbon targets.
    - **Together:** We have strong relationships with partners and work together with our communities to achieve our shared ambitions.

3. And we will continue to transform our Council to become more efficient and deliver in a smarter way together with our partners under a theme of **Future Council**.

4. In order to achieve this vision, the Council will set a budget and put in place actions and mitigations to achieve a MTFS that will provide a foundation for the Council to achieve these key outcomes, and ensure that the Council is ready for the future, is managed effectively, efficiently and responsibly in the best interests of our residents, partners and businesses, and delivery is supported by high quality support services.

Budget outcomes

5. This report provides the budget proposals and Council tax setting for the 2026/27 financial year achieving the following key outcomes;

    - Growth and investment in services to meet our key priorities and demand pressures totalling **£13.43m,** an increase of £3.93m on the £9.5m agreed as part of the 2025/26 budget.

    - The identification of **£1.71m** of new revenue savings in addition to the £1.72m of revenue savings agreed as part of the 2025/26 budget, giving a total savings position of **£3.43m**.

- An average Council tax at band D of **£2,098.69** a 2.99% increase in general Council Tax and a 2% increase in the Adult Social Care precept set by Kingston Council, after allowing for the statutory calculation adjustment in respect of special expenses relating to Wimbledon & Putney Common Conservators this reduces to £2,097.61 as set out in paragraph 112.
- Inflationary pressures of **£7.60m** funded within resources.
- A general fund balance of **£19.63m** for 2026/27 - held at the level of this year's figure to provide a buffer against unforeseen events.
- A Capital Programme to provide infrastructure investment in Kingston. The general fund capital programme over four years from 2026/27 to 2029/30 will be **£142.93m,** with a further **£105.07m** within the HRA, to a total capital programme of **£248.00m**.

6. This budget is designed to support the Council in meeting the significant challenges it faces in delivering services for residents, as well as supporting vulnerable communities and those most in need. This is set against a backdrop of the ongoing impact of an economic cost of living crisis, coupled with the national picture of increasing demand in terms of both volume and complexity, and insufficient funding within the Sector, producing a tougher than ever operating environment for local authorities. Across London collectively the funding gap for all London Councils in 2025/26 is estimated to be £600m which is in addition to £400m of Exceptional Financial Support, which means that the annual funding gap for London has reached £1bn.

7. The 2025 Autumn Budget introduced extensive reforms to the business rates system and local government funding. These changes concluded the Fair Funding Review and introduced a fundamental restructuring of how business rates are calculated and retained.

8. The settlement for 2026/27 was released on the 17th December 2025 and confirmed the funding allocations for 2026/27 through to 2028/29. Views were sought from Local Authorities and a consultation response was submitted in January 2025, highlighting potential issues with the funding allocations, which did not take into account adjustments for area costs, which disproportionately impact on London. It should be noted that there will still be an annual settlement which could impact the three year period.

9. The provisional Government Settlement, issued in December 2026 included a 5.9% cash terms increase in spending power for London Councils (5.5% Nationally). However the majority of this increase comes from the ability to raise Council tax by up to 3%, plus an additional 2% for those authorities with adult social care responsibilities. For the council, the overall increase in the Fair Funding Assessment is the assumed increase in council tax at the referendum level. Therefore it is an underlying assumption within the setting of the 2026/27 and future years budgets that this is needed to help support the Council to meet rising cost and demand-led pressures. However, it does not meet the full growing cost pressures and demand felt by the Council or Councils across the country. The final

settlement was released on 9th February 2026. There are no changes proposed as a result.

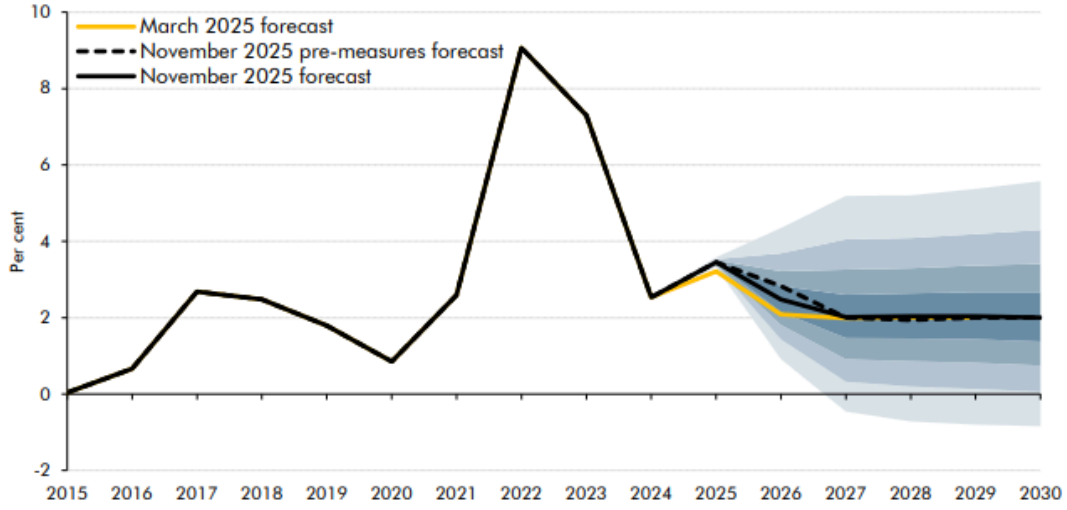
Financial Context

10. This section sets out the main national macro-economic and public spending position, the current position in respect of local government finance and the impact of the economic cost of living crisis on the Council. In short, this is one of the most challenging times for local government finance there has ever been. Demand for statutory services nationally such as social care (for both adults and children and young people) and temporary accommodation continues to increase, as is the cost of providing those services and the Council is experiencing pressures across all 3 areas. Meanwhile, the level of funding for local government is not keeping pace with these increases in cost, meaning that the level of savings required to be made to set a balanced budget, continues to increase.

National Economic Context

11. The national economic outlook remains challenging. After peaking at 11% in October 2022, CPI inflation is around 3.6% in October 2025. Following a mid-year high of 3.8%, the highest level since January 2024, inflation remains higher than the Bank of England's target of 2%. Living costs remain high for residents and as a consequence, demand-led services continue to feel the impact of those who need extra support. At the same time, inflation has driven up the cost of delivering these services which leads to additional pressures.

12. The chart below by the Office for Budgetary Responsibility (OBR) shows CPI inflation reducing at a slower rate than previously forecast in March 2025.



Note: Successive pairs of lighter-shaded areas around our central forecast represent 20 per cent probability bands.
Source: ONS, OBR

13. Living costs have remained far higher than pre-pandemic levels, with inflation on essentials such as food, fuel and energy bills in particular remaining much higher

than in recent years. This maintains pressure on households and in addition, businesses. The OBR forecasts that UK living standards, as measured by households' real disposable income, are expected to grow by 2.9% across the parliamentary period to 2029.

14. The Office for Budget Responsibility (OBR) forecasts that the UK's real GDP will grow by 1.5% in 2025. This is an improvement on the March 2025 forecast of 1%. GDP growth projections are expected to slow to 1.4% in 2026 before returning to 1.5%. The average growth for the UK across 2026 to 2029 is expected to be 1.5% which is a reduction on the OBR's forecast of 1.6%.

15. There remain significant ongoing international risks which contribute to a more uncertain global economic outlook such as the Russia/Ukraine war, the ongoing conflict in the Middle East and developments in the United States, especially high interest rates, a strong dollar and geopolitical decisions are all contributing to a more uncertain global economic outlook. These can contribute to global inflation and potentially impact economic policy of other major countries.

Local Government and Kingston Context

16. Local government finances have been under pressure for a number of years, however, there is a recognition that local government finances have been underfunded in comparison to the pressures arising from social care and the housing challenges, which have been regularly reported in the national media and have been subject to intensive lobbying from public sector bodies.

17. Living costs remain high for residents and as a consequence, demand-led services continue to feel the impact of those who need extra support. At the same time, inflation has driven up the cost of delivering these services which leads to additional pressures.

18. Demand for service provision in Adult Social Care, Children's Social Care and Temporary Accommodation continue to remain acute. Ongoing market pressures coupled with demand for these services has been driven by demographic changes, rising complexity of needs as well as the long term effect of the pandemic. Kingston's population grew by 5% between 2011 and 2021 and trends indicate an ageing population. These services account for a significant proportion of the Council's budget and therefore the cost and demand pressures represent a significant financial risk.

19. The Council has seen a higher than anticipated number of homelessness approaches, greater than forecast losses of Private Sector Leasing properties and longer lead in times to deliver some of the anticipated mitigating actions. This has resulted in a greater reliance on the use of more expensive Nightly Paid Accommodation (NPA). Children's Social Care are seeing a ten fold increase in complex cases compared to 2018/19. Adult Social Care services are facing high unit costs especially for residential care for the over 65s, combined with rising demand and complexity for care packages, particularly in Mental Health and Learning disabilities services is putting the service under increasing pressure.

20. Many London Boroughs are reporting budget gaps and issuing warnings about the sustainability of core services. The cumulative impact of high costs, increased demand and insufficient funding leaves little flexibility to absorb unexpected changes. The latest figures suggest that London boroughs need to make savings of around £600m in this financial year (2025-26) to close the gap between available resources and spending on services. This is in addition to £400m of Exceptional Financial Support (EFS) received by seven boroughs, which means the annual funding gap for London local government has reached £1 billion for the first time.

Settlement 2026/27 - 2028/29

21. Following several years of single year settlements, the 2025 Autumn Budget introduced extensive reforms to the business rates system and local government funding. These changes involve a fundamental restructuring of how business rates are calculated and retained, alongside new mechanisms for local authority funding through the Fair Funding Review FFR)..

22. The settlement implements the outcome of the FFR, which redistributes resources based on updated assessments of relative needs and local taxbase strength. The financial settlement for 2026/27 was the first time this decade that the Government has illustrated multiple years worth of funding allocations, although these are not confirmed until the future settlements.

23. The Fair Funding Assessment (FFA) distributes the outcome of the FFR, replacing the Settlement Funding Assessment. An authorities share of the total to be distributed is based on

    - The starting position for 2025/26 to determine the size of the pot. This is an estimation of actual business rates income plus grants which are in scope of the Fair Funding Review.
    - The calculated 'target' amounts for 2026/27 to 2028/29, determined by splitting the total pot using an assessment of relative needs and relative strength of the local tax base which was the FFR.
    - Transitional arrangements are in place in 2026/27 and 2027/28 which will see authorities move towards their target shares of the FFR over the three year period, a 1/3rd at a time, reaching full target share in 2028/29.
    - At this time, the LA Better Care Grant (LA BCG) is topsliced so the FFA and LA BCG is the FFA as these amounts are to be reviewed for 2027/8 onwards following the review of the Better Care Fund policy.
    - Funding Floor amounts for 2026/27 to 2028/29 to ensure that authorities get a minimum funding increase.

24. The Fair Funding Assessment is split across two funding streams, Business Rates Retention and the Revenue Support Grant (including the LA BCG).

25. Since its introduction in 2013/14, the Business rates Retention Scheme (BRRS) has been stable, with the only change due to Revaluation (2017 and 2023). For

2026/27 the scheme will see wide ranging changes relating to business rates as a tax and the resources that an authority can expect to receive.

26. For 2026/27 the business rates tax base has been revalued and a full reset of the Business Rates Retention System will be implemented for the first time. The system will also expand to five multipliers (from 2) which introduces permanently lower rates for the Retail, Hospitality and Leisure sector which will be funded by new higher rates for high-value properties which have a rateable value of £0.50m or more.

27. The Fair Funding review has also consolidated a number of specific grants within an authority's core spending power. These are detailed in paragraphs 116 to 125 of this report.

28. The Government has confirmed that it will maintain the core referendum principles established in 2025/26 throughout the mulit-year settlement period (2026/27 to 2028/29) and Councils can increase Council tax by a maximum of up to 3% without the need to hold a public referendum. The threshold at which Councils can levy an additional Social Care Precept (to help cover the cost of providing care services) also remains at 2%. Therefore the total maximum increase without a referendum is currently 4.99%. This level of increase is assumed in establishing the council's core spending power and this has been assumed over the full period of the MTFS

29. The draft settlement proposed the following Core Spending Power (CSP), a notional estimate of the funding available to Local Authorities, for Kingston. This model compares a revised starting position for 2025/6 which allows for comparison across the years. It should be noted that whilst the overall CSP has increased by £28.10m over the three year period, the assumed council tax increase is £29.30m.

	2025/26	2026/27	2027/28	2028/29
	£M	£M	£M	£M
CSP	187.40	196.70	205.90	215.50
Change		9.30	9.20	9.60
Cumulative			18.50	28.10
Council Tax Included		9.10	9.80	10.40
Cumulative			18.90	29.30
Change in CSP excluding C Tax		**0.20**	**(0.60)**	**(0.80)**

2025/26 Forecast Outturn Position

30. The context highlighted above is being borne out in the current year monitoring position, with significant budgetary pressures from Community Housing, Adult

Social Care and Children's Social Care. At month 9, the Council is reporting a pressure of £6.15m on service spend within Directorates.

31. Kingston, like many other London boroughs, is experiencing significant pressures from the costs associated with Homelessness and Temporary Accommodation. Community Housing is forecast to be £5.62m overspend for 2025/26. The council has seen a higher than anticipated number of homelessness approaches, a greater loss of Private Sector Landlord properties than forecast and some delays in the mitigating measures that were built into the budget. Although the cost per household has improved compared to our nearest neighbours, the council has a small LA owned stock which leads to more reliance on the higher cost private sector. Challenges remain with vacant properties and slow relet times are also creating pressures. As part of the transformation response, the council is looking to focus on acquisitions via our Special Purpose Vehicle, the Cambridge Road Estate, right to buy receipts and utilising CHAPS funding to increase the supply of housing stock.

32. Adult Social Care demand trends are mirroring the regional and national demand pressures with rising demand for care packages especially in Mental Health and Physical Support services is putting the service under increasing pressure. The service is also facing high unit costs in residential care for the over 65s. Uplifts to National Insurance employer contributions (alongside inflation and increases in London Living wage) came into effect in April 2025 and had a significant impact on Adult Social Care provider costs, this has created an ongoing pressure of £1m. This has been identified as a growth item in setting the budget for 2026/27.

Reserves

33. The Council's Medium Term Financial Strategy (MTFS) continues to ensure that financial resilience is prioritised. The Council is committed to maintaining sufficient reserves to ensure that the Council has relevant resources in place to meet future policy investment commitments and to provide a strong financial basis to protect the Council from any future financial uncertainty.

34. A full review of available reserves has been undertaken to ensure that the risks faced by the Council are identified, as detailed in Annex 1, and that reserves are established to mitigate the impact of these risks. As part of the 2025/26 budget, reserves were consolidated into an Economic risk reserve, where appropriate to do so, to make provision to meet these risks and to give resilience to the ongoing economic situation.

35. As part of the 2025/26 budget, the economic risk reserves totalled £12.33m. The month 9 forecast outturn position for 2025/26 is £0.17m. If further mitigation cannot be found in year, this will need to be met from the economic risk reserve.

36. As can be seen from the risks identified within this report, which are further detailed in Annex 1, and as referred to in the Section 151 Officer S25 Statement, if all risks or a combination of risks materialise in 2026/27 there would be significant challenges on the level of reserves held by the Council. This will need to be kept under close review and mitigated across the period of the MTFS.

Dedicated Schools Grant

37. The structural overspend and shortfall of funding within the Dedicated Schools Grant (DSG) for children with special educational needs or disabilities still gives rise to a significant financial challenge. The November budget announcement confirmed that the government would extend the DSG override until the end of 2027/28 and that once this statutory override concludes, it does not expect local authorities to fund future special educational needs costs from their general funds.

38. Whilst the override was always intended to be a temporary measure, the national cumulative Dedicated Schools Grant (DSG) deficit across all local authorities in England currently stands at approximately £3.15 billion. The deficit is projected to increase further, with forecasts suggesting it could reach £5 billion by the end of the 2025/26 financial year. The cumulative deficit on Kingston's DSG reserve is estimated to be approximately £21m by 31 March 2026.

39. Following engagement with the DfE over a number of years, the Local Authority signed a Safety Valve Funding Agreement in March 2021. This agreement provided that the Council could claim an additional £30.00m in revenue funding over five years to support the position. The successful claim of the additional grant was conditional on the successful implementation of the SEND Futures Plan. By December 2024 the Council had successfully received the full £30.00m. The SEND Futures Plan is the borough's partnership plan to both improve high needs education services and move annual expenditure more in line with the annual DSG grant allocation and aims to bring education spending more in line with the grant allocation and improve the borough's SEND services. The plan will be reviewed when the SEND Reforms white paper is released in 2026 and once there is clarity about future funding models. The Government has announced that high needs funding will be transferred to the Department for Education from April 2028.

40. The final local government settlement confirmed the government would fund 90% of the Authority's accumulated HIgh Need deficit at the end of 2025/26 as held in the unusable reserve set up for this purpose. The Council will need to have its Local SEND Reform Plan signed off by the DfE in order to access this grant payable in the Autumn of 2026. The remaining 10% of the deficit as at 31/3/2026 and deficits accrued up to the removal of the statutory override from 1/4/2028 remain the financial liability for the council. The council is expected to make suitable provision to meet this cost once the override is removed. It is expected that any further support will be announced annually as part of the financial settlement for 2027/28 and 2028/29.

Statement of the Section 151 Officer in accordance with the Local Government Act 2003 – Robustness Of estimates and adequacy Of reserves

Introduction and context

41. Section 151 of the Local Government Act 1972 requires local authorities to make arrangements for the 'proper administration of their financial affairs' and to appoint a Chief Financial Officer (CFO) to have responsibility for those affairs. In Kingston, the statutory S151 position is held by the Executive Director of Corporate Services and this section of the budget report is written from her professional viewpoint as a statutory officer.

42. The CFO must exercise a professional responsibility to intervene in spending plans in order to maintain the balance of resources so that the authority remains in sound financial health.

43. Section 25 of the Local Government Act 2003 (LGA 2003) imposes a duty on the CFO to report formally to full Council on the following matters:

    - The robustness of the estimates made for the purpose of calculations (to set the Council Tax); and
    - The adequacy of the proposed financial reserves.

44. The council is required to set a balanced budget each year and a minimum level of balances and reserves must be specified within the budget, to be taken account of when setting the budget requirement.

45. In setting the budget the council should have regard to the strategic and operational risks it is facing. The S151 officer (CFO) has undertaken this risk assessment and has taken into account the risks, issues and mitigations as detailed within the report and Annex 1.

46. Looking forward there are a number of risks on the horizon including:

    - Pay, Price and Contract Inflation;
    - Further volatility in interest rates;
    - Continued increase in demand led spending pressures;
    - Ongoing impact of Policy changes including SEND Reform and the impact of the removal of the DSG Override;
    - Any impact from the Business Rates Reset and update to Valuations list and reliefs;
    - Further changes in central government grant funding; and
    - Non delivery of savings delivery plans and future Transformation plans to address the ongoing significant budget gap across the period of the MTFS.

47. The MTFS is based on a number of assumptions about future expectations. Whilst the outcome of the Fair Funding Review and announcement of the multi-year settlement figures is now known, there is still a level of uncertainty in the financial landscape. A relatively small change in key assumptions can produce a significant change in the MTFS position.

48. This statement is not intended to give a guarantee that the budget is sufficient to cover all possible scenarios, nor that income and expenditure will occur exactly as budgeted.

49. The budget report sets out the wider economic and financial context that the Council is operating under in more detail elsewhere in the report. Key aspects to note include:

    - Key Demand-Led Growth: We have allocated £13.43m in growth, primarily to statutory services.

    - Adult Social Care Reform: The budget accounts for the transition to the CQC's new Assurance Framework, with clarification due in March 2026. While we have budgeted for compliance, the move toward "Fair Cost of Care" and the ongoing pressures of the London Living Wage (LLW) on provider rates remain significant risks. Our strategy relies on delivery of our Transformation Programme including Technology-Enabled Care (TEC) to manage demand, but any delay in this transformation will create an immediate revenue pressure.

    - SEND and Education Reform: Nationally, the government's "SEND and Alternative Provision Improvement Plan" is moving toward standardised national descriptors of need. While this aims to control costs, the transition period creates financial uncertainty. We have budgeted based on current EHCP trajectories, but the shift toward a "Regional Commissioning" model may impact our local cost-control mechanisms.

    - HRA and Rent Convergence: A critical element for the Housing Revenue Account (HRA) is the awaited government decision on Rent Convergence. Our 30-year Business Plan assumes a return to a stable long-term rent formula. Any continued "cap" on social rents without corresponding subsidy will impair our ability to fund the £105.07m HRA capital program and the Cambridge Road Estate regeneration.

    - The 2026/27 financial year will also potentially see the phased implementation of the Cyber Security and Resilience Act 2026. Compliance will require additional investment in specialist resourcing and the potential renegotiation of key Managed Service Providers (MSP) contracts to meet a new statutory 24-hour reporting window. The new risk has been identified within Annex 1 to note the potential 'Cost Recovery' fees from regulators should our current resilience levels require formal intervention.

50. Kingston, alongside many London Councils is experiencing significant financial pressures. A number of additional pressures have been identified in year the with

a service budget overspend forecast of £6.15m (before mitigations) at month 9. Continuing above inflation increases in costs, in particular related to Adult and Children's Social Care and for Temporary Accommodation will mean that in order the council will have to make difficult decisions on the provision of services in order to set the 2026/27 budget and to give consideration of actions needed to maintain financial sustainability over the medium term.

51. Despite the financial challenges facing the council in year, the Council has a strong track record of good financial management. Budget management reports are considered monthly by the Council's strategic leadership team and quarterly by the Council's Corporate and Resources Committee in order to be able to take the necessary actions to mitigate the financial position.

Robustness of estimates

52. Unlike many authorities nationally, Kingston has all prior years of accounts signed off with an unqualified opinion. This provides a verified and stable baseline for the 2026/27 budget, ensuring that our starting reserve balances and "outturn" figures are not subject to the estimation errors currently prevalent in the sector.

53. The budget and medium term financial strategy are forward looking pieces that therefore rely on the inclusion of estimates of what may happen over that period. The strategic leadership team have worked collaboratively to develop estimates of demand and cost based on the data available and have provided challenge to assumptions made about the future, particularly on demand-led growth.

54. During 2025/26 the Council has continued to see demand for services increase significantly, to levels beyond those that could have been reasonably expected when the budget was set. Estimates have been made in respect of the future level of demand, particularly for adults and children's social care and temporary accommodation, but no guarantee can be given that demand for services won't continue to rise above expectations. Work to deliver transformation in how we support those most in need is ongoing and will be vital in order to mitigate further increases in the future.

55. Whilst assumptions have been made that the level of inflation will remain reasonably static over the medium term, the budget recognises that there is often a lag in timing between the current headline inflation rate and when that is applied to contracts. It also remains the case that where growth in demand for services outstrips growth in supply then this is also likely to lead to further cost increases. Both these points are particularly pertinent to expenditure on social care and temporary accommodation. The assessed level of risk around inflation is included in Annex 1.

56. The savings proposals included within the budget have been rigorously reviewed to give assurance that they are deliverable. Where consultation is required prior to implementation, this has been identified as having a part year effect in the first year of the saving proposal. If following consultation the proposals do not proceed in full or in part, the funding shortfall would need to be substituted with funding

from reserves or alternative plans brought forward in-year in the first instance with any future year implications addressed as part of the ongoing budget .

57. Within the capital programme, assumptions are also subject to inflationary risks with the construction industry seeing levels of inflation even higher than those seen at the peak of general inflation. Capital budgets generally include contingencies within them to partly cover this risk as well as other risks of increasing costs arising from site conditions or other unknowns.

58. The capital programme aims to maximise external funding and utilise capital receipts where possible in order to minimise revenue costs of borrowing. There remains a risk that capital receipts will not be achieved at the assumed level but this risk is considered to be low. In relation to the costs of borrowing these are reflected in the revenue budget at estimated levels based on expert advice on interest rates and modelling of the capital expenditure profile. The impact of potential variations in the cost of borrowing and returns on cash investments is included in Annex 1.

Adequacy of Reserves

59. Reserves are held to help ensure the Council has an appropriate level of financial resilience to potential future financial shocks and uncertainties and is more able to meet the costs of items where the pattern of expenditure is uneven or timing is unknown. The general fund balance addresses the wider spectrum of unknown risks (as the HRA balance does for the ringfenced HRA account) whilst earmarked reserves are set aside for specific risks or future priorities.

60. Any use of reserves needs to be under the recommendation of the S151 officer and take into account not just the short term pressures to balance the budget, but the longer term risks to the Council's financial sustainability.

61. Given the level of forecast overspend in 2025/26 before mitigations and the level of risk and uncertainty in setting the 2026/27 budget alongside the level of one off funding utilised to set the 2026/27 budget, it is the opinion of the S151 Officer that the level of available reserves will be significantly challenged over the period of the MTFS and will need to be kept under careful review to ensure they are held at an adequate level.

62. The Council has made good progress in recent years to increase general fund balances from historic lows to a more appropriate level for an authority of this size with the general fund balance expected to be maintained at £19.63m.

63. It should, however, be recognised that the level of potential financial risk identified in Annex 1 would far exceed the level of risk reserves available should all of these present in year and it should be noted that should there be an overspend for 2025/26, after any further in year mitigations, this will need to be met from reserves.

64. The table below shows the expected levels of reserves at 31 March 2026 before any utilisation of reserves set out above.

Reserve	**Forecast balance 31 March 2026 £000s**
General Fund Balance	19,633
Earmarked Reserves	49.960

65. In addition to the reserves highlighted above, there remains a deficit on the unallocated dedicated schools grant reserve. It is estimated that this deficit will be £21m at 31 March 2026. The government has issued a statutory override covering periods up to 31 March 2028 which allows S151 officers to disregard this deficit in considering financial sustainability by classing this reserve as an unusable reserve in the Council's accounts. The Government has announced, linked to SEND Reform, that Local Authorities will not be expected to meet DSG deficits after the end of the Statutory Override in March 2028. The government has confirmed the removal of the override and financial support of up to 90% of the high needs accrued deficit as at 31/3/2026 however, there is still a significant financial risk for further deficits accrued up to the removal of the override. This liability remains the single greatest threat to Kingston's long term financial sustainability.

66. For Kingston, the removal of the override without further substantial financial support, alongside the other financial pressures already identified, would mean that the council would not be financially sustainable over the period of the MTFS without the need for Exceptional Financial Support alongside the possibility of considering the issue of a S114 notice.

67. Whilst it has not been necessary to use reserves directly to meet the budget gap in order to propose a balanced budget for 2026/27 there remains a significant element of one off funding that is being utilised to fund ongoing expenditure. This is a combination of suspending annual contributions to meet increased borrowing costs associated with the capital programme, bad debt provision and redundancy costs and collection fund surpluses and the removal of the general fund contribution to the DSG deficit.

68. This contributes to the increase in the budget gap for 2027/28 when this funding is removed again. At £10.00m, the level of savings needed to balance the budget for 2027/28, increasing to £24.06m by 2029/30, will present a significant challenge to the Council. Whilst the Council's transformation programme will need to deliver additional savings and cost mitigations for future years to meet this gap, further service efficiencies and income generation will be needed as well in order to ensure there is a sustainable way to deliver balanced budgets over the medium term without reliance on one off sources of funding.

Conclusion

69. There has been a significant and ongoing level of scrutiny and challenge exercised by Officers and Portfolio Holders throughout the 2026/27 budget setting process. The proposed budget for 2026/27 is based on what can be reasonably known and assumed at the time of setting the budget and with an acceptance that this includes uncertainty and risk which may impact adversely during the 2026/27 financial year.

70. In reaching my opinion on the Council's financial sustainability, I have reviewed our performance against the CIPFA Financial Resilience Index (latest 2025/26 data release). This index provides a range of indicators that highlight the Council's relative exposure to financial stress compared to our statistical peer group.

71. On this basis the S151 officer is able to offer assurance on the robustness of estimates in accordance with Section 25 of the Local Government Act 2003. This is predicated by the need to maintain as a minimum the level of reserves currently held by the council.

72. Given the ongoing growth in demand and cost for statutory services; the uncertainty regarding accumulated DSG Deficit and requirements under SEND Reform and other potential changes in regulatory requirements, the S151 Officer advises in line with Section 25 of the 2003 Act that the current level of the General Fund Balance and the level of reserves are sufficient for 2026/27 but will need to be kept under close review and scrutiny.

73. However, the Council is not immune to the national "policy lag" regarding SEND funding and the HRA rent formula. The 2026/27 budget is balanced, but its long-term viability depends on the successful delivery of the £3.43m savings program and a favorable national resolution to the DSG deficit before the 2028 statutory override expires. The council will need to make difficult decisions to be able to continue to make further significant budget reductions through efficiencies, income generation and transformational activity to address the longer term financial sustainability of the council. Further proposals will need to be brought forward in a timely manner for decisions in 2026/27 in order to address the budget gap for 2027/28 outside of the budget cycle.

74. Any amendments to the budget proposals which reduces the overall level of reserves available may cause this advice to change.

Council plan

70. The Council Plan is the Council's most important strategic document, setting out the collective vision and key priorities for the borough. The Council Plan 2023-2027, was endorsed by the Corporate & Resources Committee on 21st February 2023 and approved by Council on the 2nd March 2023.

71. This document guides the Council's decision-making and directs resource allocation. It sets out the commitments to Kingston's communities under themes of Fairer, Safer, Greener and Together, and how the Council will work as an organisation under the theme of Future Council.

Fairer

- Be an inclusive borough
- Support children and young people
- Promote health and wellbeing for all ages
- Deliver quality homes and housing services
- Support skills, training and good employment

Safer

- Provide person-centred adult's and children's social care
- Coordinate Kingston's response to emergencies and develop community resilience
- Work with partners to keep Kingston safe
- Ensure a well maintained and well regulated borough

Greener

- Promote sustainable transport and improve air quality,
- Reduce waste and support recycling and reuse
- Improve our natural environment and increase biodiversity
- Reduce energy use and carbon emissions

Together

- Celebrate, strengthen and empower our communities
- Support businesses and promote economic development
- Collaborate with strategic partners
- Work closely with the community to deliver shared aims
- Shape our borough through sustainable regeneration

Future Council

- Deliver efficient services, communicating clearly with our communities
- Be responsible with our finances, commissioning good quality, good value services
- Be led by data and insight
- Invest in and transform our services

- Provide the right infrastructure for the Council and Kingston
- Support and develop our staff

72. An annual Council Delivery Plan sets out the key projects delivering against these priorities. The 2025/26 Delivery Plan is available on the Council's website and the 2026/27 Delivery Plan will be presented to the People, Place and Corporate and Resources Committees in March 2026.

73. A new Council Plan will be developed following Local Elections in May 2026.

Climate action

74. Kingston Council remains committed to reducing direct greenhouse gas emissions from Council activities by 2030. This includes emissions from energy, water, and refrigerants paid for by the Council across buildings and public street lighting, all vehicles owned or leased by the Council and all staff business travel. Actions that will be needed to reach this goal will not only benefit and protect our local area and communities but also will ensure that the Council contributes fairly to global efforts to address the current climate emergency.

75. Improvements in the energy efficiency of Council buildings, street lighting, fleet and travel, combined with the increase in renewable electricity supply from the national grid have already led to a 39% reduction in comparable emissions in 2024/25 since the baseline year of 2017/18.

76. Efforts continue with further installations of high efficiency LED street lighting in heritage style streetlights across the Borough. Electricity use from street lighting has already halved compared to 2022/23, has reduced carbon emissions by 450 tonnes and has significantly reduced electricity costs. The Council's fleet is now over 90% electric, including one of the first electric waste and recycling collection fleets in the country. The next big area of emissions to tackle are those generated from the Council's corporate buildings and social housing blocks that make up 76% of Council operation emissions. Improving energy efficiency and looking at alternatives to energy created from fossil fuels will play a significant part of the journey to net zero as well as help to ensure that public buildings remain fit for purpose into the future.

77. The faster that reductions can be made, the greater the contribution to mitigating the wider impacts of climate change. National efforts to move electricity to be "clean power" by 2030 will mean that replacing gas use in council owned buildings with electrical alternatives, where feasible, will be vital to reduce operational carbon emissions to net zero. The Council will be unable to meet these costs directly without Central Government funding in support and the Council continues, alongside partners, to lobby Government to provide an extension/alternative to the currently paused Public Sector Decarbonisation Programme.

78. Investment in the retrofit of housing stock is outlined separately in this report (see Annex 10) and includes an HRA budget of £7.8m over the next 4 years, providing greener, warmer, safer homes that are cheaper to run. A first round of retrofit measures has been completed on 66 social housing properties that has included improved insulation and ventilation and solar panels funded by the national Social Housing Decarbonisation fund. A further £0.78m in national grant funding was awarded to Kingston from the newly named Warmer Homes Social Housing fund and is enabling works on another 135 social houses. Successful Air Source Heat Pump and solar panel installations at Four Oaks Hostel and Fountain Court Hostel mean that these sites now use low carbon energy sources. The works at Four Oaks Hostel have already reduced carbon emissions at the site by 48% from 2022/23 to 2024/25 financial years. Further reductions in carbon are expected as the electric grid moves to clean power by 2030. Additional works are also planned on further communal blocks systems following the success of these projects.

79. The joint aims of reducing carbon emissions and reducing building operational costs are already informing major projects such as the new Kingston Leisure Centre, which is being built to be highly energy efficient and with the latest heating technology so will have no gas use. Plans for the Guildhall refurbishment and expansion will also include no new gas.

80. By including carbon and wider climate related questions within recent large contract procurement processes, the Council is accelerating efforts to reduce carbon emissions across the Borough. Successful contractors are now partnered with the Council to assist in reaching operational net zero while also increasingly adopting their own internal targets to reduce carbon emissions from their operations in the Borough. This process allows further leveraging of the Council's spending influence for environmental and societal improvement.

81. Reducing Council carbon emissions will not only reduce operational costs but will also avoid future carbon offsetting payments. While the Council aims to reach as practicably close to Net Zero as possible, it recognises that there are some unavoidable emissions that will have to be offset. The average cost for offsetting a tonne of carbon is currently around £83. Total direct carbon emissions from Council operations in 2024/25 were 4,198 tonnes so therefore fully offsetting current emissions would cost in the region of £0.35m annually. The price of offsetting a unit of carbon is expected to rise year on year creating an additional benefit to reducing emissions in avoiding these costs in the future.

82. This past year has seen a greater focus on the need for preparing Kingston for Climate Changes that are already occurring and are expected to happen more often in the future. A new theme of this name was included in the updated Climate Action Strategy in October 2024. This Strategy also outlines the Council's ambitions for a net zero borough by 2038. In 2025 the Council implemented a scheme in the Sir Francis Barker Recreation Ground to alleviate the risk of flooding in Chessington and have further flood alleviation schemes planned which leverage partnership funding.

83. 39% of carbon emissions in the borough are from transport. Improving active travel infrastructure such as healthy streets, cycleways and cycle storage as well as delivering cycle training, continue to increase the options available for residents and visitors to travel to and around the borough. In 2025/26 Kingston received around £1.9 million in grant funding from TfL to support the delivery of this work.

84. Key to meeting the net zero and adaptation targets in a financially responsible way will be the sourcing of external funding. In the last year, the Council has secured over £2.02million in grants for the retrofit of RBKs corporate estate and social housing, measures for schools and new waste systems trials. The Council will continue to bid for funds where they are applicable.

Medium Term Financial Strategy

85. The MTFS sets out the Council's approach to the management of its financial resources to meet its corporate priorities. It sets out projections for costs of service delivery and the resources available to fund those services over the next four year period to 2029/30.

86. Living costs remain high for residents and as a consequence, demand-led services continue to feel the impact of those who need extra support. Demand for service provision in Adult Social Care, Children's Social Care and Temporary Accommodation continue to remain acute. Ongoing market pressures coupled with demand for these services has been driven by demographic changes, rising complexity of needs as well as the long term effect of the pandemic. This has resulted in the continued need to identify savings and transformational proposals to deliver a sustainable MTFS. The 2026/27 budget includes a number of savings, income generation and growth proposals, as well as providing for inflationary increases in services.

Budget Mitigations

87. The approved MTFS in February 2025 identified a budget gap for 2026/27 of £14.52M increasing to £33.14M over the term of the MTFS.

88. The MTFS position is monitored and updated during the year for changes in the underlying assumptions for things such as the rate of inflation, interest rates, pay settlements etc. In addition to this, alongside considering savings and growth proposals, all spend is considered in terms of further mitigating actions to mitigate the budget gap. The following table identifies how the budget gap, across the four year period of the MTFS has been impacted by these changes as well as noting the additional mitigation measures that have been identified. It should be noted that a number of these are one off measures that will need to be reassessed in future years.

	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Opening Budget Gap (approved Feb 2025)	**14,523**	**22,413**	**31,107**	**33,143**
Change in Inflation	326	(484)	(1,442)	(1,622)
Change in Existing Growth	(2,444)	(2,444)	(2,444)	(2,444)
New Growth	3,912	3,552	3,494	3,494
New Savings	(1,161)	(1,772)	(1,922)	(1,922)
Budget Rephasing	0	(30)	(1,434)	(1,434)
Funding Changes:				
Statutory Parking account	112	243	398	577
Specific Grants and FFA announcement	(3,853)	(5,131)	(4,784)	(1,802)
Collection Fund Surplus	(1,352)	0	0	0
Additional Council tax from base increase	(342)	(362)	(384)	(408)
Mitigating actions:				
Secondary Pension Contribution Reduction	(1,137)	(1,137)	(1,137)	0
Secondary Pension Contribution Reduction - Childrens Services	(1,344)	(1,344)	(1,344)	0
Reduction in Cost of Borrowing Budget	(2,000)	0	0	0
Removal of Contribution to Organisational Development Reserve	(750)	0	0	0
Reduction in Central Contingency Budget	(972)	0	0	0
Removal of redundant contribution to capital expenditure	(1,118)	(1,118)	(1,118)	(1,118)
Removal of DSG Deficit Contribution	(2,400)	(2,400)	(2,400)	(2,400)
Budget Gap - Feb 2026	**(0)**	**9,985**	**16,590**	**24,064**

Updated MTFS Budget Position

89. The 2026/27 and future years budget across the period of the MTFS are shown in the following table, this identifies the gross budget requirements and then how this will be funded. Alongside this it shows the budget position approved for the current financial year, 2025/26. This incorporates the budget changes and mitigations identified in the above table.

Medium Term Financial Strategy	2025/26 £000s	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Expenditure:					
Base Budget	**178,378**	**190,670**	**205,702**	**223,082**	**238,404**
Adjustments to Base Budget	50	100	0	0	0
Inflation	7,871	7,595	6,350	6,423	6,266
Fees & Charges	(1,075)	(709)	(680)	(699)	(723)
Growth	15,756	13,429	9,412	11,152	9,000
Savings	(6,660)	(3,427)	(1,394)	(150)	(36)
Budget Adjustment	0	4,115	(30)	(1,404)	(2,890)
Corporate Items	(3,650)	(6,071)	3,722	0	2,481
Gross Budget Requirement:	**190,670**	**205,702**	**223,082**	**238,404**	**252,501**
Resources:					
Parking and Traffic Reserves	(5,945)	(7,648)	(7,516)	(7,361)	(7,182)
Specific Grants	(21,360)	(5,556)	(5,556)	(5,556)	(2,656)
Sub-total	(27,305)	(13,204)	(13,072)	(12,917)	(9,838)
Financing Resources for Tax Setting Purposes					
Revenue Support Grant	(251)	(25,196)	(26,538)	(25,818)	(25,818)
Business Rates	(26,821)	(21,502)	(21,996)	(22,439)	(22,439)
Council Tax	(134,402)	(142,862)	(151,490)	(160,640)	(170,342)
Collection Fund (Surplus)/ Deficit - CTax	(1,891)	(2,350)	0	0	0
Collection Fund (Surplus)/ Deficit - NDR	0	(588)	0	0	0
Movement to/(from) reserves	0	0	0	0	0
Sub-total	(163,365)	(192,498)	(200,024)	(208,897)	(218,599)
Total Resources	**(190,670)**	**(205,702)**	**(213,096)**	**(221,814)**	**(228,437)**
Annual Increase in Budget Gap	**0**	**(0)**	**9,986**	**6,604**	**7,474**
Cumulative Budget Gap	**0**	**(0)**	**9,986**	**16,590**	**24,064**

90. A reconciliation from the 2025/26 budget to the proposed 2026/27 budget is shown in Annex 2.

91. In the current context of Local Government funding, the analysis of resources and expenditure reveals a budget gap in future years between funding available and likely cost. By 2029/30 this gap is expected to be £24.06m. However, the variable

inflationary environment within which the Council is operating and the increasing levels of demand for key services across the Council present significant risk to this position.

92. Alongside continuing to lobby Government to increase the available funding to Local Government and to address the systemic long term underfunding of demand led statutory services, the Council will need to continue to make further significant budget reductions through efficiencies, income generation and transformational activity.

93. The 2026/27 local government finance settlement is for one year only, but includes illustrative amounts for 2027/28 and 2028/29. MHCLG has published the outcome of the Fair Funding Review which redistributes resources based on updated assessments of relative needs and local taxbase strength. Additionally, there are changes to the Business Rates system. A full reset of the business rates retention system will occur in 2026/27, effectively removing accumulated growth and redistributing it based on updated needs. The business rates taxbase will also be revalued in 2026 as planned and five new multipliers have been introduced for 2026/27 to better support specific sectors. For RBK, as noted in the update on Business Rates in paragraphs 99 to 102, this has had an adverse impact with retained growth being redistributed nationally.

94. The Medium Term Financial Strategy assumes the confirmed full amount that Councils can increase Council tax by without the need to hold a public referendum. These thresholds are 2.99% for Council Tax and an additional 2% for the Social Care Precept (to help cover the cost of providing care services). Therefore the total maximum increase without a referendum is currently 4.99%. This has been assumed over the full period of the MTFS, this aligns to the assumptions made in determining the core spending power of the council.

Engagement and Consultation

95. As the Council progresses through the term of this medium term forecast, engagement with residents and businesses continues to be essential to navigate the challenging financial environment within which the Council is operating.

96. Subject to Council approval of the budget, further details on specific projects and activity required to deliver the proposals will be shared with residents and communities as they progress. Engagement on particular projects will be undertaken before implementation of proposals in line with the commitments set out in Council's Community Engagement Framework and to meet statutory requirements and the public sector equality duty.

97. In the meantime, residents can continue to share views about Kingston's budget planning and priorities for the longer term or register their interest in being involved, by visiting kingstonletstalk.co.uk/finance/budget-planning-2025-2028 or by emailing engagement@kingston.gov.uk.

98. The draft budget is brought to the People, Place, and Communities and Resources Committees for consideration and review, before recommendations are presented back to Council from each Committee as part of the scrutiny process, in order to ensure that the report approved by Council has gone through suitable levels of challenge.

Resources

99. This section of the report explains the resources the Council has available to fund its expenditure, how they are generated and any restrictions on their use. It also outlines the expected level of resources over the medium term.

100. A summary of resources is shown in the table below:

Resources Analysis	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Business Rates	(21,502)	(21,996)	(22,439)	(22,439)
Council Tax	(142,862)	(151,490)	(160,640)	(170,342)
Collection Fund Surplus (Council Tax)	(2,350)	0	0	0
Collection Fund Surplus (Business Rates)	(588)	0	0	0
Total Local Taxation	**(167,302)**	**(173,486)**	**(183,079)**	**(192,781)**
Revenue Support Grant	(25,196)	(26,538)	(25,818)	(25,818)
Specific Grants	(5,556)	(5,556)	(5,556)	(2,656)
Use of Statutory Parking & Traffic Reserves	(7,648)	(7,516)	(7,361)	(7,182)
Grand Total	**(205,702)**	**(213,096)**	**(221,814)**	**(228,437)**

Business Rates

101. Business rates are a tax on business premises. Business rates are set nationally, but collected locally. The Council therefore cannot directly influence the level of income generated through this source. It is, however, a very important source of income for the Council. The shares of business rates retained under the current arrangements are 30% for individual London boroughs, 37% for the GLA, with the remaining 33% being retained by central government.

Business Rates Base

102. The level of business rates income included in the budget reflects the latest estimates of the Council's share of the Business Rates income following the provisional local government settlement. The new Fair Funding Assessment is split across two funding streams of which Business Rates is one of these.

103. Since its introduction in 2013/14, the Business rates Retention Scheme (BRRS) has been stable, with the only change due to Revaluation (2017 and 2023). For 2026/27 the scheme will see wide ranging changes relating to business rates as a tax and the resources that an authority can expect to receive.

104. For 2026/27 the business rates tax base has been revalued and a full reset of the Business Rates Retention System will be implemented for the first time. The system will also expand to five multipliers (from 2) which introduces permanently lower rates for the Retail, Hospitality and Leisure sector which will be funded by new higher rates for high-value properties which have a rateable value of £0.5m or more.

Business Rates Income - Kingston Share	2025/26	2026/27
	£000s	£000s
Local Share of NDR income	24,628	31,922
Tariff	(3,742)	(10,420)
S31 Grants	8,224	0
Tariff Adjustment	(2,289)	0
Total	**26,821**	**21,502**

Council Tax

105. The Council Tax which residents in the borough pay comprises two elements, one is the tax levied by the Council to fund its services and the other is an amount collected on behalf of the Greater London Authority (GLA) and paid over to them. The final decision on the level of Council Tax levied by Kingston will be taken by Members at the Budget Council meeting on 26 February 2026.

106. The level of income collected through Council Tax is determined by the level of Council Tax charged and the number of properties upon which that Council Tax is chargeable - this is known as the tax base. The tax base is determined by assessing the number of chargeable dwellings in the borough and their Council Tax band, allowing for discounts or exemptions and estimating the number of new properties that are likely to be added in the borough during the year. The taxbase directly affects the general fund income for the Council.

107. For 2026/27, the Section 151 Officer set the Council tax base on the 9 January 2026 under delegated powers at 68,071.7, which is an increase of 1.2%. The key factors in this change are set out in the table below:

Changes to the taxbase between 2024/25 and 2025/26	Band D units
Taxbase for 2025/26 (including non collection adjustment)	**67,236**
New properties during the year and anticipated for 2026/27	403
Changes in Council Tax Support Scheme payments	174
Changes in reliefs, discounts and premiums	268
Adjustment for collection rate (1% non collection)	(8)
Taxbase for 2026/27	**68,072**

Kingston Council Tax and Social Care Precept

108. The social care precept allows the relevant authorities to levy an additional precept to fund adult social care. This can be up to 2% per year in 2026/27, and covers households both inside and outside of the Wimbledon and Putney Common Conservators Levy area.

109. The Kingston element of Council Tax proposed as part of this budget represents a general increase of 2.99% and a 2% social care precept. The formal Council tax calculation is set out in Annex 3. The table below provides details of the Council tax requirement for 2026/27. The proposed average Band D Council tax for 2026/27 will be £2098.69 an increase of £99.73 a year (or 4.99%). This is the average Band D bill when taking into account those households both inside and outside of the Wimbledon and Putney Common Conservators (WPCC) Levy area. The majority of Band D properties will pay slightly less than the average and those in WPCC areas will pay slightly more. Exact amounts for properties inside and outside of the WPCC area have now been confirmed by the WPCC and their final levy is used in this report.

Council Tax Setting Calculations	2026/27 £000s
Gross Budget Requirement	**205,702**
Less:	
Revenue Support Grant	(25,196)
Specific Grants	(5,556)
Use of Parking and Traffic Reserves	(7,648)
Net Budget Requirement	**167,302**
Less:	
Business Rates	(21,502)
Collection Fund Deficit (Council Tax)	(2,350)
Collection Fund Surplus (Business Rates)	(588)
Total	**(24,440)**
Council Tax Requirement	**142,862**

110. The announcement of the Mayor of London's draft budget proposals was made on 16 January 2026. The consultation budget proposes a Band D Council Tax precept of £510.51 for 2026/27, compared to £490.38 for 2025/26, an increase of 4.1% or £20.13. The increase comprises £15 for MOPAC (Met Police) and £5.13 for the London Fire Brigade.

111. Confirmation of the GLA's budget and Council Tax follows the London Assembly meeting on 26 February 2026. Full details of the GLA's draft budget can be found on their website at www.london.gov.uk/budget

Total Council Tax

112. The table below shows the total proposed Council Tax, inclusive of the provisional GLA amounts and detailed amounts for each band. The final 2026/27 levy for the Wimbledon and Putney Commons Conservators (WPCC) is £73,921. This works out as an additional band D amount of £41.38 for that area, an increase of £1.29 compared to 2025/26.

Council Tax Band	Council Tax RBK	Council tax GLA	Council Tax - most areas of the Borough	WPCC area precept	Council Tax - WPCC area
	£	£	£	£	£
A	1,398.41	340.34	1,738.75	27.58	1,766.33
B	1,631.47	397.06	2,028.53	32.19	2,060.72
C	1,864.54	453.79	2,318.33	36.78	2,355.11
D	2,097.61	510.51	2,608.12	41.38	2,649.50
E	2,563.75	623.96	3,187.71	50.57	3,238.28
F	3,029.88	737.40	3,767.28	59.77	3,827.05
G	3,496.02	850.85	4,346.87	68.96	4,415.83
H	4,195.22	1,021.02	5,216.24	82.76	5,299.00

Collection Fund Surplus/Deficit

113. The Council maintains a Collection Fund as required, in order to account for the difference between the actual amounts of Council Tax and Business Rates due and the budgeted amounts used in setting the tax for the year.

114. Where the estimate and actual differs, the Council is required to include the difference in the calculation for the following year's Council Tax and Business Rates income. Estimates at 15 January 2026 show that there is expected to be a Council Tax surplus of £0.95m at the end of 2025/26, with Kingston's share being £0.76m. Collection during 2025/26 is performing well.

115. The table below sets out the overall Council Tax estimated position that impacts on 2026/27, and the share that is attributable to Kingston, which is approximately 80% of Council tax collected. The table shows the allocation of the surplus.

Council Tax (surplus) / deficit chargeable to the General Fund	Charged to 2026/27 £'000s
Opening Collection Fund Surplus 2025/26	(2,912)
2025/26 In-Year estimated surplus	(2,377)
Less 2024/25 estimated surplus to be recovered	4,338
Total Collection Fund (Surplus)/Deficit to be split between RBK & GLA	**(951)**
Kingston Share:	
Opening Collection Fund Surplus 2025/26	(2,332)
2025/26 In-Year estimated surplus	(1,909)
Less 2024/25 estimated surplus to be recovered	3,477
Benefit to General Fund for Council Tax surplus	**(764)**

116. A similar process is undertaken for Business Rates with estimates made in respect of surpluses or deficits expected to arise at 31 March 2026. This is shared between the Council, the GLA and Central Government in proportion to their shares of business rates income set by the Government.

117. The projected in-year surplus for Business Rates in 2025/26 is a deficit of £0.08m, with Kingston's share being £0.03m. This is set out in the table below:

Business Rates (surplus) / deficit chargeable to the General Fund	Charged to 2026/27 £'000s
Opening Collection Fund Surplus 2025/26	(5,101)
2025/26 In-Year estimated deficit	82
Less 2024/25 estimated surplus to be recovered	3,059
Total Collection Fund (Surplus)/Deficit	**(1,960)**
Kingston Share:	
Opening Collection Fund Surplus 2025/26	(1,530)
2025/26 In-Year estimated deficit	25
Less 2024/25 estimated surplus to be recovered	918
Benefit to General Fund for Business Rates surplus	**(588)**

Grant Funding

118. The number of specific grants within Core Spending Power (CSP) has greatly reduced due to the funding simplification implemented as part of the Fair Funding Review.

119. The new Fair funding allocation is split across two funding streams, Business Rates Retention and the Revenue Support Grant (which also includes a top slice of the LA Better Care Fund). There are several specific grants that have been consolidated into the Fair funding allocation and additional grants that previously have been outside of an authority's CSP that have been rolled in. The following grants are now part of the fair funding assessment allocation:

    - New Homes Bonus
    - Social Care Grant
    - Market Sustainability and Improvement Fund
    - Employer National Insurance Contributions Grant
    - Homelessness Prevention Grant (Temporary Accommodation element)
    - Childrens and Families grant (the elements which were previously - Supported Accommodation Reforms, Staying Put, Virtual School Head extensions, Leaving care allowance uplift and Personal Advisors Extended Duty)

120. The inclusion of the grants included in the Financing Resources section has been updated to reflect these movements and summaries are shown below. The Extended Producer Responsibility payment has been confirmed for 2026/27. The grant is expected to continue at these levels and has been budgeted as such.

121. In order to reflect these changes within our Medium Term Financial Plan, it is necessary to realign our budgets which increases the Gross Budget Requirement with the increased funding shown within the available resources. This is shown in the tables below.

Specific Grants	2025/26	2026/27	2027/28	2028/29
	£000s	£000s	£000s	£000s
New Homes Bonus	192	0	0	0
Local Authority Better Care Grant	2,270	0	0	0
Social Care Support Grant (Children's & Adults)	11,466	0	0	0
Housing Benefit Admin	386	386	386	386
Market Sustainability and Improvement Fund	2,508	0	0	0
Children's SC Prevention Grant	319	0	0	0
PEPR Payment	2,662	2,900	2,900	2,900
Highways Formula Block allocations	543	0	0	0
Homelessness Prevention Grant top up	1,014	0	0	0
Total Specific Grants	**21,360**	**3,286**	**3,286**	**3,286**

Fair Funding Allocation Grants	2025/26	2026/27	2027/28	2028/29
	£000s	£000s	£000s	£000s
LA Better Care Fund *	0	2,270	2,270	2,270
Revenue Support Grant	251	25,196	26,538	25,818
Total Specific Grants	**251**	**27,466**	**28,808**	**28,088**
(* 25/26 included in Specific Grants)				

122. The Autumn Budget also introduced a significant restructuring of local government grant funding through the creation of four consolidated grants

123. Homelessness, prevention and Rough Sleeping Grant
This grant sits within core spending power (CSP) but is mostly made up of funds which previously sat outside of CSP. This grant consolidates the prevention, staffing and relief element of the Homeless Prevention Grant and allocations from the Rough Sleeping Prevention and Recovery Grant and Rough Sleeping Accommodation Programme

124. Children, Families and Youth consolidated grant - Elements of this grant sit in the CSP, others outside CSP.

- The Family First Partnership portion consolidates the Children's Services Prevention Grant and the Supporting Families (Family Help) element of the 2025/26 Children and Families Grant. This is part of the council's core spending power.
- The Holiday Activities and Food element is a direct replacement for the Holiday Activities and Food grant
- The Pupil Premium Plus Post 16 element is the direct rolling in of this grant.

125. Crisis and Resilience Fund - This grant combines 2025/26 Discretionary Housing Payment and Household Support Fund grants under a single banner.

126. Consolidated Public Health Grant - the consolidated ring fenced grant brings together the main Public Health Grant, Drug and Alcohol Treatment and Recovery Improvement Grant, Individual Placement Support and Local Stop Smoking Services Support Grant.

127. The grant figures included within the budget have been taken from the provisional budget settlement, which was issued on the 17th December 2025. These figures will be confirmed following the conclusion of the consultation period on the 14th January 2026. These figures have also been provided on a multi-year basis, giving more certainty to the medium term position.

Use of Statutory Parking and Traffic Reserves

128. The on street parking, moving traffic contraventions and bus lane enforcement accounts are ring fenced accounts for the collection of income from these activities and whose income can only be spent on transport and other related activity. One of the most significant costs funded from this source of income is funding of the freedom pass for Kingston residents, which combined with the taxi card had a budget for 2025/26 of £5.99m. The budget for this in 2026/27 has been increased by £0.10m.

129. The level of expenditure on relevant activities included in the budget exceeds the level of income available from the accounts and as such the draw down from the accounts is shown alongside other general resources. The amount to be drawn down in 2026/27 has slightly reduced to £7.65m to take account of new proposals being introduced as part of the MTFS for 2026/27 to 2029/30. The draw down from the reserve accounts are regularly reviewed to ensure the drawdown does not exceed the available income.

130. Annex 4 provides a summary of forecast income for these accounts.

Expenditure

131. This section of the report sets out how the resources outlined above are deployed in order to deliver services and how the demands on the available resources change over time.

132. Inflation, growing demand for services and unavoidable increases in cost, place additional pressure on the budget over the medium term and this is mitigated to a degree by budget reductions from saving proposals.

Adjustments to base budget

133. Adjustments are made to the current year (2025/26) budget in order to arrive at the base position for 2026/27. These are necessary to remove one off items or where the impact of a decision differs between financial years. The main adjustments are outlined below.

Adjustments to Base	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Removal of unachieved savings from previous years	100	0	0	0
Total	**100**	**0**	**0**	**0**

134. Adjustments have been required where the impact of previous year's savings and growth requirements changes year on year. The adjustment relates to a removal of red rated savings in 2025/26. These have been replaced by new proposals.

Inflation

135. A key element in the budget preparation process is building in an appropriate allowance for inflation. The draft budget presented continues to restrict inflationary increases to cost elements where there is an unavoidable contractual commitment only. Inflation rates have been higher than the Government target of 2% during 2025 but the forecast for CPI in 2026 is 2.5%, before decreasing to the target of 2% in 2027, which is a year later than expected.

136. Pay inflation has been allowed for within the budget, based on estimated rates consistent with previous years, as no decision has yet been made in respect of pay awards to local government staff for 2026/27 and is not expected before the start of the financial year.

137. An increase of 3% has been allowed for in the budget but this has been held centrally to be allocated once the national pay negotiations have concluded. Service budgets will receive the necessary increase in budget for 2026/27 to reflect the pay award once agreed.

138. Non-pay inflation has been allowed in line with contractual obligations, however, in most cases these costs have been increased by 3% slightly below the current Consumer Price Index (CPI) inflation, based on the anticipation of further reductions in the current CPI rate prior to the start of 2026/27..

139. Both pay and non-pay inflation risk are addressed in Annex 1.

140. The table below shows the inflation allowed for in each category.

Inflation	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Pay Inflation held centrally	2,447	2,049	2,105	2,162
Non-Pay (Contracts & Social Care)	3,702	3,375	3,471	3,571
Corporate levies and subscriptions	27	23	24	24
Other inflation items	1,419	903	823	508
Total	**7,595**	**6,350**	**6,423**	**6,266**

Growth

141. Growth is proposed to be added to the existing cost base to assist in delivering the Council's priorities, Transformation Programme and the new Council Plan. The need for individual items of budget growth arises mainly from the need to fund the increasing demand for many of our statutory services (e.g. Adults and Children's social care, SEN transport and managing homelessness) due to changes in demographics and client numbers or for unavoidable pressures where current budgets would be insufficient to maintain existing service levels.

142. The table below shows the Growth that is proposed to be applied to budgets, split by Council Plan theme. The Growth figures for 2026/27 in the table below are made up of £9.50m of Growth already in the existing budget agreed by Council in February 2025, with the remainder now identified as further growth requirements in key demand areas of the Council.

Growth by Council Plan	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Fairer	50	0	0	0
Safer	7,362	6,061	5,330	0
Greener	0	0	0	0
Together	(50)	(195)	0	0
Future Council	6,067	3,546	5,822	9,000
Total	**13,429**	**9,412**	**11,152**	**9,000**

143. A detailed breakdown of the growth assumptions included in the table above can be found in Annex 5.

Savings and Income generation

144. The table below summarises the savings proposals in this medium term financial strategy, against the Council plan themes. The total value of the new savings identified is £1.71m for 2026/27, for approval within this budget. These savings are in addition to the carried forward savings of £1.72m agreed as part of the 2025/26 budget, bringing the total savings to be delivered in 2026/27 to £3.43m, with a further £1.55m currently identified across the following 3 years. These savings are a combination of efficiency and income generation proposals.

145. Further details of the proposals being applied are shown in Annex 6.

Savings by Council Plan	2026/27 £000s	2027/28 £000s	2028/29 £000s	2029/30 £000s
Fairer	700	50	50	0
Safer	1,458	541	100	0
Greener	213	0	0	0
Together	18	0	0	0
Future Council	1,038	803	0	36
Total MTFS Savings	**3,427**	**1,394**	**150**	**36**

Equalities

146. Equality considerations have been undertaken regarding the budget reductions that will be enacted in the 2026/27 budget to fulfil the requirements of the public sector equality duty. Public bodies must have due regard to the need to:

'eliminate unlawful discrimination, harassment and victimisation and other conduct prohibited by the Act; advance equality of opportunity between people who share a protected characteristic and those who do not; and foster good relations between people who share a protected characteristic and those who do not'.

(Source: Public Sector Equality Duty, Equality and Human Rights Commission https://www.equalityhumanrights.com/en/advice-and-guidance/public-sector-equality-duty) .

147. The public sector equality duty covers the nine protected characteristics. In addition, Kingston Council treats Care Experience as a protected characteristic. Care Experienced people include anyone who, at any stage in their life, for any length of time (no matter for how short a time period):
    - Has been in care; or
    - Is currently in care; or
    - Is from a looked-after background, including adopted children who were previously looked-after. This could be looked after in the UK or Overseas. any resident and strives to ensure that other priority equality groups are also considered.

148. The Council also strives to ensure that other priority equality groups are considered. Further information on these groups can be found in the Inclusive Kingston Strategy at https://www.kingston.gov.uk/policies-statements/equalities.

149. This budget has been produced against a backdrop of previous financial reductions along with the ongoing financial challenges. The budget reduction proposals have been assessed carefully to make sure that where there is potential impact on residents, service users or staff, an appropriate equality impact assessment will be carried out ahead of the implementation of any change. Where relevant, consultation and community engagement will also be undertaken as part of any equality impact analysis.

150. Any impact on staff will be managed through the organisational change management process supported by the Human Resources and Organisational Development team.

151. The Council will continue to explore ways to operate efficiently whilst supporting residents and service users, particularly those in the greatest need of help and support.

Summary by Directorate

152. The result of the changes in resources and spending outlined above leads to a draft net budget requirement for each directorate for 2026/27 as follows:

Summary by Directorate	2026/27 £000s
Adults Social Care & Health	75,707
Children's Services	49,258
Corporate Services	13,956
Central Items	21,433
Place	16,050
Residents & Communities	25,393
Chief Executive's Office	3,905
Total	**205,702**

153. A more detailed analysis by service is provided in Annex 7, with Annex 8 showing the budget summarised by expenditure type. The budgets published in these annexes and summarised in the table above show the best estimate available at the time this agenda is published as to how expenditure will be split across service areas and expenditure types.

Flexible use of Capital Receipts

154. To support local authorities to deliver more efficient and sustainable services, a time limited flexibility is currently available to use capital receipts from the disposal of property, plant and equipment assets to fund the revenue cost of service reform. This provision is in place until the 31st March 2030.

155. The Council's refreshed strategy in respect of this is set out in Annex 9.

Housing Revenue Account Budget

156. The Housing Revenue Account (HRA) is a ring-fenced account for all income and expenditure relating to the Council's housing landlord function. Details of the proposed HRA budget and medium term plans are shown in Annex 10. In order to meet statutory deadlines for advising tenants of changes in their rent, decisions on the HRA budget and rent levels were taken at the People Committee on 3 February 2026.

157. The report outlines the Council's efforts to increase the supply of Council Housing (CRE, Small Sites and acquisitions) in an effort to reduce reliance on Temporary Accommodation to fulfill the Council's housing duty to homeless households and the pressure this places on the General Fund.

158. With the Small Sites programme nearing completion, the Council aspires to generate sufficient headroom within the HRA to support a further round of Council led housing development and/or acquisitions over the next five years. The potential to do so is linked to the CRE development programme which remains the Council's highest housing priority and a significant factor in determining the

capacity in the HRA alongside. The CRE Business Plan is currently under review as part of the development of proposals for the second phase of the project and is expected to be considered at the C&R committee in 2026/27. Adoption of a new CRE business plan will facilitate a further review of the HRA position and it is anticipated that an updated HRA business plan will be presented to a relevant committee.

Capital Strategy

159. The Capital Strategy (Annex 11) is a requirement of the updated Prudential Code and Treasury Management Code of Practice (both issued in December 2021). The Capital Strategy sets out a capital programme for the period 2026/27 to 2029/30 of £248.00m. General Fund schemes total £142.93m and the Housing Revenue Account (HRA) is £105.02m.

160. The General Fund capital programme is funded by a combination of capital receipts, external funding from grants and levies, and prudential borrowing. The HRA programme is funded by the Major Repairs Reserve, external grants, leaseholder receipts and prudential borrowing.

Capital Programme by Service

161. In addition to the Capital strategy, Annex 11 of this report provides further detail on the Capital programme, split into General Fund and HRA, with the additional enclosure listing the full programme for the 4 year period 2026/27-2029/30.

162. The capital programme prioritises Council and resident needs, featuring significant investment in housing. This includes ongoing Housing Revenue Account (HRA) funding for the regeneration of the Cambridge Road Estate (CRE), Acre Road, and the Small Sites 2 programme. Behind housing, further investment is also directed towards continuing the building a new community leisure centre in Kingston town centre, Decarbonisation schemes essential for achieving net zero, and the new Post-16 Campus, which will equip young people with Special Educational Needs and Disabilities (SEND) with work-ready skills within the local community.

163. The Council also continues the general fund rolling programmes of investment street lighting, road maintenance and works to operational properties, with a total of £4.5m per year. The Technology Investment Fund has been removed from the capital programme and replaced by a specific Digital Transformation programme, funded by capital receipts.

164. The assumed level of prudential borrowing to finance the General Fund capital programme is £102.85m, as detailed in Annex 11. The majority of which will be spent on the new community leisure centre and financing of initial phases of the CRE programme. The profile of the funding requirement is dependent on forecast income such as GLA funding and capital receipts.

165. The Council's 30 year HRA Business Plan sets out plans for maintaining and investing in its housing stock of rented and leaseholder properties. Each year the

HRA Business Plan is reviewed to take account of any changes to factors, including changes to housing policy, economic assumptions, such as building cost inflation and interest rates and changes to local conditions, such as stock condition and levels of RTB sales.

166. The HRA Programme of capital expenditure over the next four years 2026/27 to 2029/30 is £105.07m. Overall the HRA capital programme is set to improve existing HRA assets, increase supply with the support from the Building Homes for Londoners GLA grant funding and to address a programme of planned works to estates and other demand driven projects.

167. The HRA capital programme will be funded from a combination of prudential borrowing, grants from the GLA, leaseholder receipts and the Major Repairs reserve.

168. The outline education capital programme is shown within the capital strategy. This includes capital provision for works to maintain school buildings funded by the capital maintenance grant and plans for school expansions (£7.22m). This includes the final stages of the school expansion works at Burlington School, which has been committed from the prior Basic Need grant allocation for the delivery. A prioritised programme of works for future years will be developed.

169. Project delays and other market factors have resulted in a significant in-year forecast underspend of the capital programme. The last forecast presented in the public domain was an underspend of £5.4m as at month 6 (September 2025). A further update on the in-year position was reported to the Corporate and Resources Committee in February 2026. Further work will be undertaken to ensure capital project forecasts are profiled suitably across the years, taking into account any potential delays arising at various stages within the project, to support with the financing and minimising the costs of borrowing for the Authority.

170. In the initial stages of development, major capital projects will have significant uncertainties. For example these may relate to the planning process, the views / interest of stakeholders who must be consulted, ground conditions, or the cost of refurbishing or demolishing existing buildings (e.g. the cost of asbestos removal). As such all major projects contain a defined contingency provision. The level of this contingency is set with reference to the type of project, the complexity and risk items identified on the risk register.

Treasury Management

171. The proposed Treasury Management Strategy for 2026/27 is attached at Annex 12. This includes the annual investment strategy for surplus cash and borrowing including a policy statement on the minimum revenue provision (MRP) required to be set aside to repay debt. It should be noted that there is a proposed change to the MRP policy from 2026/27. This is detailed in Enclosure 2 of Annex 12.

172. Under the prudential code for capital finance, the Council can take a local decision on the level of borrowing that it considers appropriate to support new capital

investment. In taking such a decision the Council has to determine that any such borrowing is affordable (by reference to the impact on the revenue budget), prudent and sustainable.

173. In order to support any decision on prudential borrowing, local authorities are required to set a number of prudential indicators before the beginning of the financial year. These range from the setting of local limits on prudential borrowing to those that relate to treasury management activities. Monitoring against the indicators will be undertaken throughout the financial year and mid and end of year reports submitted to the Audit and Governance Committee. The indicators may be revised, following approval by Full Council, at any time during the year.

Pay Policy

174. The Council is required to set a pay policy for the remuneration of staff. This is included at Annex 13.

Schools Budget

175. The schools budget papers relating to the education services funded from the dedicated schools grant is set out in Annex 14.

CIPFA Financial Management Code and Resilience Index

176. The CIPFA Financial Management Code (“The Code”) is designed to support good practice in financial management and to assist local authorities in demonstrating their financial sustainability. Although the Code does not have legislative backing, it is applicable to all Local Authorities. It is consistent with other codes and guidance including the CIPFA Prudential Code, the Treasury Management in the Public Sector Code of Practice and the Code of Practice on Local Authority Accounting in the UK.

177. The existing financial management arrangements in place during 2025/26 have been reviewed against the standards set out across seven thematic sections in the Code from last year.

178. Overall the Council continues to demonstrate a strong level of compliance with the Code.

179. Further to the Financial Management Code, CIPFA publishes each year the CIPFA Resilience index which shows the Council's position on a range of measures associated with financial risk highlighting where additional scrutiny may be required.

180. The data for the resilience index is obtained from the Revenue Expenditure and Financing England Outturn Report 2024-25 ('RO Forms') and reflects figures submitted by Local Authorities to MHCLG, published on 4 December 2025. A provisional index has been released to S151 Officers to review.

181. While recognising some limitations in the returns (e.g. reflecting the previous financial year) they provide a consistent and transparent starting place for a discussion on financial resilience. S151 Officers review this to support their S25 Statement.